THE UNITED REPUBLIC OF TANZANIA

PRESIDENT'S OFFICE

REGIONAL ADMINSTRATION AND LOCAL GOVERNMENT

KASULU TOWN COUNCIL

FORM TWO PRE-MOCK EXAMINATION

CODE: 062 **BOOK KEEPING**

Time: 2:30 Hours **Monday, 26.05.2025**

INSTRUCTIONS

(i)This paper consists of section A, B and C with total of nine (9) questions., Answer ***all*** *questions.*

(ii)All writing must be ***blue*** *or* ***black*** *pen except drawing which must be in pencil.*

(iii)Non programmable ***calculators*** *may be used*

(iv)Cellular phones and any unauthorized materials are not allowed in examination room.

(v)Write your name on every page of your answer sheet.

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SECTION A (15 MARKS)

Answer **all** questions in this section.

1.For each of the items (i)-(x) choose the correct letter among the given alternative and write its letter beside the item number in the answer sheets.

(i)What is the name of the book of original entry used to record the sale of fixed assets on credit?

A.Sales ledger C. Sales ledger

B.General journal D. Purchases ledger

(ii)Whenever cost of goods sold is greater than sales the outcomes present;

A.Gross loss. C. Net profit.

B.Gross profit. D. Net loss.

(iii)The cost of putting goods into saleable condition should be charged to

A.Income statement C. Suspense account.

B.Balance sheet D. Trial balance.

(iv)Which of the following is one of the objective of studying book – keeping;

A.Avoiding tax payment.

B.Providing employment opportunity.

C.Determining profit and loss.

D.Selling of the goods.

(v)A credit balance in a bank account shows;

A.The amount available at the end of the period.

B.The amount that had been overspent at the end of the period.

C.The total amount paid out at the end of the period.

D.The total amount received at the end of the period.

(vi)The document which gives the description of goods bought on credit is;

A.Cash receipt C. Purchases invoice.

B.Credit note D. Sales invoice.

(vii)The term "expenses" means

A.Payment or incurring of the debt for an asset

B.Cost of services used for generating income

C.Asset bought and sold

D.Cost incurred in buying an asset

(viii)A trade discount is best described as;

A.A discount given if the invoice is paid

B.A discount for cash payment

C.A discount given to suppliers

D.A discount given to encourage bulk purchasing.

(ix)Bookkeeping is the branch of accounting which deals with;

A.Analysis and interpretation of data

B.Recording, classifying, summarization of data and interpretation

C.Recording of financial business in the books of accounts

D.Credit transactions of the business.

(x)A statement prepared to show the financial position of the business is known as;

A.Trial balance

B.Income statement

C.Journal proper

D.Statement of financial position.

2.Match the items in List A with the responses in List B by writing the letter of the correct response below the item number in the table provided;

LIST A	LIST B
i. Goods bought for resale. ii. A person sold goods to us on credit basis. iii. A book used to record payments and receipts made on cash basis. iv. Are accounts with the names of persons. v. Appears on the left-hand side of an account.	A.Debtor. B.Sales. C.Debit Side. D.Creditor. E.Personal Accounts. F.Cash book. G.Purchases H.Credit Side

SECTION B(40 MARKS)

Answer **all** questions in this section.

3.Briefly explain the following terms as used in book keeping

(i)Trial balance

(ii)Financial statements

(iii)Bookkeeping

(iv)Transaction

(v)Debtor

4: Examine five (05) reasons for returning goods to suppliers.

5: Complete the following table and show which accounts are to be debited and which are credited.

Transactions	Account to be debited	Account to be credited
Example: Bought office furniture for cash	Furniture A/C	Cash A/C
i. A debtor " MUMBATI" pays us by cheque.		
ii. Bought goods for cash.		
iii. Paid cash to VYAMUGOYE		
iv. Sold goods to BWANA KAZEBHA on credit.		
v. BWANA KAZEBHA paid by cheque.		

6: From the following details below of **KIGOMA Region** prepare INCOME STATEMENT for the year ended 31st December,2024.

Details	**Amount**
Sales	13,000
Purchases	7,200
Return outwards	150
Stock at start 01/01/2024	1,200
Stock at close 31/12/2024	750
Interest received	26
Discount allowed	80
Rent and rates	496
Salaries	1,560

SECTION C (45 Marks)

Answer all questions in this section.

7: (a)The business transactions are always recorded in books of accounts,would you please list down the types of books of accounts? (b)Suppose you are an accountant in a scertain organisation and asked just to list down the types of subsidiary books.How would you do?

8: From the following is Mr.Kasyamugolo business information as at 31st december 2024:-

Cash at Bank…….9000/=

Stock……. 25, 000/=

Debtors: Banda.…… 2,000/=

Pande……..1,000/=

Creditors: Peter…..……2,000/=

Motor Van……7,000/=

Loan from NMB.....15,000/=

Premises…….35, 000/=

Furniture…….8,000/=

Capital…….70, 000/=

REQUIRED:You are required to prepare the TRIAL BALANCE as at the end of that date.

9: Bwana KAZANYE commenced business on 1st January 2024 with capital in cash TSH 200000. His transactions during January were as follows

		TSh
January	1. Purchased goods from Bwiza on credit.....	40,000
	2. Sold goods on credit to Gwando.....	10,000
	3. Paid rent.....	60,000
	4. Cash purchases.....	16,000
	6. Paid postage charge.....	1,000
	8. Paid cash to Bwiza.....	5,000
	9.Gwando paid us cash.....	6,000
	13. Purchased goods on credit from Kinyenzi.....	50,000
	16. Sold goods on credit to Muhange.....	36,000
	17. Paid salaries.....	9,600
	18. Cash sale to date.....	6,000
	19. Paid advertising expenses.....	7,000
	20.Muhange paid cash to us.....	20,000
	22. Cash purchases.....	18,000
	24. Bought furniture for cash.....	10,000
	25.Received cash from Muhange.....	10,000
	27. Purchased machinery for cash.....	60,000
	28. Paid wages.....	16,000

Required: Open and balance off cash account.